

NORWAY 2002

1. Overview of the system

In Norway, the unemployment insurance scheme is part of the National Insurance Scheme (NIS). Unemployment benefits are calculated as a percentage of previous earnings, and are taxable. The benefit period is limited to 3 years. Social economic assistance may be granted to the individual and may cover all housing costs. In most cases, the tax unit is the individual. The 2002 AW level is NOK 343 997.

2. Unemployment insurance

2.1 *Conditions for receipt*

A precondition for entitlement to daily cash benefits during unemployment is that the person concerned must have had an income from work of at least 1.25 times the basic amount the preceding calendar year or an income from work which at least equals the basic amount as an average during the three preceding calendar years. Income from participation in labour market measures no longer qualifies. The basic amount was NOK 51 360 from 1st May 2001. The amount increased to NOK 54 170 from 1st May 2002. Hence it follows that the average basic amount for 2002 was NOK 53 233.

2.2 *Calculation of benefit amount*

The calculation of daily cash benefits is based on income from work, income from job creation measures, daily cash benefits during unemployment, sickness, maternity and adoption. The calculation basis is the highest of either the income of the last preceding calendar year or the average over the last three preceding calendar years.

2.2.1 *Calculation of gross benefit*

The benefit rate per day is 0.24 per cent of the calculation basis and is paid five days a week. This will normally give an annual compensation of 62.4 per cent of the calculation basis. The maximal benefit basis is 6 times the basic amount (NOK 325 020 in 2002). The maximum amount per week thus is NOK 3 900.

A Supplement of NOK 17 per day (NOK 85 per week) is granted for each dependent child under the age of 18.

2.2.2 *Income and earnings disregards*

Daily cash benefits are related to the reduction in working hours per week. Working hours must have been reduced by at least 40 per cent as compared to previous working hours.

2.3 Tax treatment of benefit

Taxable as personal income, see section 10.1.2.

2.4 Benefit duration

Daily cash benefits are payable for five days a week and are granted if the person concerned has been unemployed three of the last ten working days while being registered at the employment office as a bona-fide applicant for work.

The benefit period varies depending on earlier income from work. Income from work amounting to at least twice the basic amount gives a benefit period of 156 weeks (3 years). Income amounting to less than twice the basic amount gives a period of 78 weeks (1.5 years).

When the initial period expires, a subsequent benefit period may only be granted provided that the requirement concerning previous income from work, also during the previous benefit period, is met (see section 2.1). There are no special conditions concerning a subsequent benefit period.

2.5 Treatment of particular groups

2.5.1 Young persons

No special treatment.

2.5.2 Older workers

Persons above the age of 64 are guaranteed three times the basic amount, and their benefits are paid indefinitely until the age of 67.

3. Unemployment assistance

Up to July 2008, a so-called “waiting benefit” (ventestønad) was paid to long-term unemployed persons. The “waiting benefit” was paid if the claimant had worked at least three years during the past four years, and had exceeded the period of entitlement to unemployment insurance benefits, but had no maximum duration. However, the benefit was intended to be temporary while waiting for suitable labour market measures or work. In 2007, there were on average 1 900 waiting-benefit recipients in total. The “waiting benefit” was terminated from July 2008 onwards.

4. Social assistance

Social Economic Assistance (SEA) is complementary to all other subsistence allowances and is provided as a last resort assistance (safety net). Municipalities are responsible for providing SEA.

4.1 Conditions for receipt

SEA is a means-tested benefit. Only residents in Norway are entitled to SEA. The assistance may be conditional (requirement to work for the municipality, active job search, participation in labour market training, etc.).

4.2 Calculation of benefit amount

The benefit unit is always the individual, but the resource unit is the dependent family. SEA is granted according to the local social workers' discretion. The Ministry of Health and Social Affairs in 2001 set governmental guidelines on reasonable amounts. The guidelines were revised in 2002. The latest price adjustment of the guidelines took place in 2004. The municipalities also set local guidelines. In this report, the data for subsistence allowance is based on the governmental guidelines, while the housing allowance data is based on the guidelines of the municipality of Trondheim.

4.2.1 Calculation of gross benefit

Guidelines for social assistance

Household type; NOK/month	2002
Single person	4 000
Couples (married or cohabitating)	6 660
Cohabitating, single person benefit	3 330
Children 0-5 yrs.	1 530
Children 6-10 yrs.	2 020
Children 11-17 yrs.	2 550

Remarks:

1. Child care cash benefit (children 1-2 yrs.) included in income calculation base for social assistance
2. Family, basic, and attendance benefits excluded from income base

Guidelines for housing benefit (excl. heating/electricity)¹

NOK/month	2002
Youth under 25 yrs. (single rooms, shared flats)	2 800
Single person over 25 yrs, no children (single-room flat)	3 500
Couple (married or cohabitating), no children (two-room flat)	6 000
Lone parent, one child (two-room flat)	6 000
Any household with two small children or one older child (three-room flat)	7 000
Any household with three children (four-room flat)	7 000

Estimated heating/electricity expenses as a function of household income (NOK/year)

¹ For beneficiaries of social economic assistance, the housing benefit is generally set and provided by the municipality. In the event that a beneficiary of social economic assistance is also eligible for the governmental housing benefit (as described in the Housing Benefits section), the governmental benefit is included in the above (municipal) amounts. This follows from the fact that social economic assistance is a subsidiary benefit.

Household income	2002
Less than 200 000	7 858
200 000 - 299 999	10 541

Remark:

Electricity consumption in 2001 multiplied by average price in 2005.

Source: Statistics Norway

4.2.2 *Income and earnings disregards*

SEA is withdrawn 100 per cent against all income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

Intended for temporary relief only, but currently not subject to any binding time limitation.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

Participation in labour market programmes is usually required.

4.5.2 *Older workers*

None.

5. *Housing benefits*

There is a special government housing benefit - housing allowance - for persons with a combination of low income and high housing costs. The benefit depends on the household's total resources and housing costs. The average monthly amount was NOK 1 430 in 2002. The average yearly housing expenses in households receiving housing allowance was NOK 50 800 in 2002, and the average yearly income was NOK 92 952.

The following groups were eligible for the special housing benefit in 2002:

- Recipients of pensions or allowances from the National Insurance Scheme (NIS) or comparable pension benefits.

- Recipients of Social Economic Assistance (SEA), see section 4.
- Elderly persons (from the age of 65).
- Households with children under the age of 18.

Maximum income for eligible households with children under the age of 18 and recipients of Social Economic Assistance (SEA) was:

- Larger urban areas:
 - For one-person and two-person households: NOK 148 000.
 - For households with at least three persons: NOK 161 000.
- Other areas:
 - For one-person and two-person households: NOK 141 600.
 - For households with at least three persons: NOK 155 100.

The housing allowance is calculated as 70 per cent of the difference between the actual and a standard ("reasonable") housing expense, the standard being tabulated below. The standard is calculated on the basis of an increasing percentage above a specified income level. The maximum housing expense, recognised for the purpose of calculating the housing allowance, is also given in the table.

Number of persons in household	Maximum expense/year (in NOK)		Standard expense/year		
	Larger urban areas	Other areas	Rate (%)	On income up to (NOK)	For every additional NOK 1 000 in income
One or two	60 000	55 000	17	76 000	0.3 percentage points
Three	64 500	59 500	17	91 000	0.3 percentage points
Four	69 000	64 000	17	101 000	0.3 percentage points

6. Family benefits

6.1 Conditions for receipt

Family benefits are paid only to families with dependent children. Each child aged 18 or under qualifies.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit is NOK 11 664 per child per year. Lone parents receive benefits for one child more than the actual number of children.

An annual supplement of NOK 7 884 per year is granted for children between 1 (one) and 3 years of age in addition to the ordinary rates. Lone parents with wage below half the basic amount (*i.e.* receiving full transitional benefit, see section 9.2.1) and children between 0 (zero) and 3 years of age get one extra annual supplement of NOK 7 884 independent of the actual number of children.

6.2.2 *Income and earnings disregards*

None.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

None.

7. **Child-care benefits**

See section 10.1.1

8. **Employment-conditional benefits**

None.

9. **Lone parent benefits**

Lone parents are entitled to National Insurance benefits: Transitional allowance, education benefits and, when required due to professional or educational qualification activities, a supplementary child care benefit.

9.1 *Conditions for receipt*

Lone parents are entitled to benefits if unmarried, divorced or separated and neither living together with a person who is not the children's other parent. A benefit is not granted if the single parent has had a cohabitant during 12 of the last 18 months.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

Full transitional benefit is equivalent to 1.85 times the basic amount (see section 2.1, above), that is, NOK 100 215 in 2002, reduced by 40 per cent of wage and unemployment insurance exceeding one half of the basic amount, that is, NOK 27 085 in 2002.

Maximum child care benefit for lone parents in 2002:

- One child NOK 30 852.
- Two children NOK 40 248.
- At least three children NOK 45 612.

The actual benefit granted is 70 per cent of documented expenses up to these maximum benefit levels in 2002.

9.2.2 *Income and earnings disregards*

See above reduction of transitional allowance depending on age and income from unemployment insurance.

9.3 *Tax treatment of benefit*

The transitional allowance is taxable as pension income. The child care benefits are not subject to taxation.

9.4 *Benefit duration*

The transitional benefit is limited to a period of three years after the birth of the youngest child, but may be extended for another two years when the lone parent engages in professional qualification (in which case a contribution towards the extra cost will be added).

9.5 *Treatment of particular groups*

None.

10. **Tax system**

Both central and local government taxes are payable.

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

Tax allowances/credits (ordinary income):

- For tax on ordinary income a flat allowance exists (NOK 30 100 class 1, NOK 60 200 class 2).
- Unemployment insurance is treated like wage income.
- Basic relief of 23 per cent of personal income, relief bound by a minimum of NOK 4 000 and a maximum of NOK 43 000. For wage income (incl. unemployment benefit) each individual can choose a separate allowance of NOK 31 800 instead of the basic relief.
- If the family can document of child-care expenses for children younger than 12 years, the couple will get a deduction in ordinary income up to NOK 25 000 for one child and NOK 30 000 for two or more children.

The allowance applies in general to the spouse who has the highest income. Unused parent allowance may be transferred to spouse. The allowance is also applicable to single parents.

- Lone parents receiving the transitional benefit only (and pensioners receiving the comparable benefit) do normally not pay income tax, according to a special “tax liability limitation schedule”. Single persons qualified for the tax limitation rule, do not pay tax on net income below the threshold of NOK 81 100 (ordinary income including 2 per cent of net wealth exceeding NOK

200 000). The tax limitation rule has no direct contribution to the social security system. But the basic relief is included and so is the possible deduction due to documented child-care expenses. The lone parent may also have additional income (*e.g.* income from work) and still be taxed with reference to the limitation rule (if this implies lower tax than the ordinary tax rules). Additional income faces a formal marginal tax rate of 55 per cent. Due to the basic relief, the actual marginal tax rate on personal income is normally 42.35 per cent ($0.55 \times (1 - 0.23)$).

Only when the transitional benefit is zero, the single parent has to be taxed in accordance with the ordinary tax rules for income in class 2 (including the 7.8 per cent contribution on wage/unemployment insurance to the social security system).

10.1.2 *The definition of taxable income*

Two tax bases exist:

- Personal income, income from work and/or pensions (including unemployment benefits and lone parent transitional allowances) with no deductions, social security tax and surtax are levied on personal income.
- Ordinary income, taxable income of all types after deductions (for example interest expenses).

Central government taxes are levied on both personal income and ordinary income, whilst local tax is levied on ordinary income only.

10.1.3 *The tax schedule*

A total tax rate of 28 per cent is levied on ordinary income. This rate is divided into two parts: 14.3 per cent as local tax (county/state and municipality) and central government tax, calculated as 13.7 per cent of taxable income. The total of local and central government tax on ordinary income and net wealth may not exceed 80 per cent of ordinary income.

Central government surtax is levied on personal income. The surtax is a progressive tax with two brackets. Two classes exist, class 1 and class 2. See section 10.2.

NOK per year		Rate (%)
Class 1	Class 2	
Up to 320 000	Up to 342 200	0
320 000 – 830 000	342 200 – 830 000	13.5
830 000 +	830 000 +	19.5

10.2 *Treatment of family income*

The tax unit is in most cases the individual (class 1), but joint taxation (class 2) is also possible and more favourable if one of the spouses has little or no own income. Lone parents are also entitled to class 2. Approximately 90 per cent of the tax payers are taxed in class 1.

10.3 *Social security contribution schedule*

Contributions amount to 7.8 per cent of personal wage income, and 3.0 per cent of lone-parent transitional allowance and pension income. Pensions (including lone-parent transitional allowance) below NOK 105 325 are not subject to income tax and social security contributions.

Persons with personal income below NOK 23 000 do not pay social security contributions.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Any person works part time if he/she works less than the average working week for his/her own profession. To be eligible for an unemployment benefit, the person must have experienced at least a 40 per cent reduction in working time. The unemployment benefit will cover people in proportion to the days they do not work. The benefit period is the same as that for fully unemployed people.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 *Policy changes introduced in the last year*

None.

12.2 *Policy changes announced*

None.
